



materials to understand areas it can participate in. It has already cleared the first review with MEITY and has to now secure ToT (transfer of technology) partners, adds Foulger.

While the ECMS policy has been well received, its success hinges on execution.

“Incentives and disincentives are the two guide rails needed today,” says Foulger. “If you import a phone housing, there’s a 10–15% basic custom duty, which justifies making it in India. A mix of disincentives to import and incentives to manufacture will make ECMS work.”

Electronic component manufacturing demands precision,

scale, and steady infrastructure. Joint ventures will play a key role.

“A similar journey took place in the Indian automobile industry. Around 30 years ago, companies like Honda, Kawasaki and Suzuki entered India through joint ventures. Indian companies learned from them, and gradually, a domestic component ecosystem began to develop. Today, India has its own fully established automobile ecosystem. The same trajectory is expected in electronics,” says Sharma.

MAPPING INDIA'S COMPONENT HUBS

Every great electronics economy rests not on assembly lines, but on

networks of component suppliers. India’s next leap will depend on where and how this backbone develops.

Industry insiders suggest creating value chain clusters around existing electronics manufacturing hubs, much like Manesar and Pune did for auto components in the 1990s.

“The idea is to build closer to existing clusters but also create capacity in Tier-II cities and Tier-II states. First, expand into Tier-II cities within existing manufacturing states, and second, add new states that haven’t been part of the electronics ecosystem yet,” says Foulger.

States are pitching in. Tamil Nadu, Gujarat and Uttar Pradesh have launched state-specific electronic component manufacturing schemes with some offering matching subsidies, waivers and duty exemptions.

Five years ago, India was barely assembling mobile phones. But today, it’s exporting them even to the US.

The base for component manufacturing is now visibly taking shape. Apple, for instance, has already plugged 45 companies into India’s supply chain, and more are likely to follow under the ECMS.

Of course, the ecosystem will take time to mature. After all, even China didn’t build all its capability overnight. The ecosystem evolved over time, first in Japan, then South Korea, followed by Taiwan, and then China. It took China nearly 20 years to become a global leader.

India has just begun to chart its path. **BT**